Executive Summary

Customer Segmentation & Churn Pattern Analytics in European Banking

20.4%	32%	51%	1.9x	€88.7m
Overall churn rate	Germany churn (FR/ES ~16%)	Churn, ages 46–60	Inactive vs active members	Balance lost, high-value

Purpose

This summary reports what a segmentation analysis of 10,000 retail-bank customers in France, Spain and Germany reveals about customer churn, and what the bank should do about it.

Key findings

- **One in five customers leaves.** 2,037 of 10,000 customers exited (20.4%), taking €185.6m in balances (24% of the total).
- **Germany is the hotspot.** Churn of 32.4% is double that of France (16.1%) and Spain (16.7%), and Germany supplies 40% of all churners from a quarter of customers.
- **Mid-life customers are most at risk.** Those aged 46–60 churn at 51.1%, 2.5 times the average, and make up 41% of exits.
- **Disengagement is the strongest warning sign.** Inactive members churn at 26.9% against 14.3% for active members and account for 64% of exits.
- **Multi-product customers are leaving.** Customers with 3 or 4 products churn at 83% and 100%, a signal of a possible product or service problem (small group, 326 customers).
- **High-value customers are a material risk.** The top 25% by balance churn 1.23 times as often as others; 592 such customers took €88.7m (48% of lost balances).
- **What does not matter:** credit score, tenure, salary and credit-card ownership show almost no link to churn.

Recommended actions

- Prioritise a retention programme for German customers and for ages 46–60, where the highest-risk segments (Germany, 46–60, inactive: 81% churn) are concentrated.
- Introduce early-warning triggers for customers who become inactive, with rapid personal contact for high-balance accounts.
- Review the design, pricing and sales practices of 3–4 product bundles before further cross-selling.
- Use the supplied risk-scoring model and dashboard to build outreach lists and to measure the effect of retention spending.

Confidence and caveats

Findings come from a single-year snapshot and show associations, not proven causes. Balance is used as a stand-in for customer value. A predictive model built on the same data achieves AUC 0.88, which is good enough to rank customers by risk but not to make individual decisions automatically. The accompanying research paper gives full method and detail; the interactive dashboard lets stakeholders explore any segment.